

Microsoft Corporation

Annual Report Summary — Fiscal Year Ended June 30, 2024

NASDAQ: MSFT | Redmond, Washington

Company Overview

Fiscal year 2024 marked Microsoft's 50th year and the second year of what CEO Satya Nadella describes as the AI platform shift. The company delivered record financial performance, with over \$245 billion in annual revenue (up 16% year-over-year) and over \$109 billion in operating income (up 24%).

Microsoft organizes its business into three reportable segments: Productivity and Business Processes (Office, LinkedIn, Dynamics 365), Intelligent Cloud (Azure, server products, enterprise services), and More Personal Computing (Windows, Devices, Gaming, Search advertising). Common stock trades on NASDAQ under MSFT; as of July 25, 2024, there were 81,346 registered holders of record.

A central theme of the year was the buildout of an 'agentic' AI ecosystem centered on three platforms: Copilot (the human interface for AI), the Copilot stack (infrastructure, data, and app services for building custom copilots/agents), and Copilot+ PCs, a new class of AI-optimized Windows devices. Key adoption metrics cited include 60,000+ Azure AI customers (up ~60% YoY), 1.8 million paid GitHub Copilot subscribers, 77,000+ GitHub Copilot enterprise customers (up 180% YoY), and Microsoft 365 Copilot usage by nearly 60% of the Fortune 500.

On October 13, 2023, Microsoft completed its \$75.4 billion acquisition of Activision Blizzard, King (cash-funded), materially expanding its Gaming business within More Personal Computing and adding \$50.97 billion of goodwill and \$22.0 billion of intangible assets to the balance sheet.

Reportable Segments

- Productivity and Business Processes — Office Commercial/Consumer (incl. Microsoft 365, Copilot for Microsoft 365), LinkedIn, and Dynamics 365/business applications.
- Intelligent Cloud — Azure and other cloud services, SQL Server, Windows Server, Visual Studio, GitHub, Nuance, and enterprise/partner services.
- More Personal Computing — Windows (OEM and Commercial), Devices (Surface, HoloLens), Gaming (Xbox hardware, content and services including Activision Blizzard), and Search/news advertising (Bing, Copilot, Edge).

Key Financial Results (FY2024 vs. FY2023 vs. FY2022)

Income Statement Highlights (\$ millions, except per-share data; fiscal year ended June 30)

Metric	FY2024	FY2023	FY2022
Total revenue	245,122	211,915	198,270
Product revenue	64,773	64,699	72,732
Service and other revenue	180,349	147,216	125,538

Metric	FY2024	FY2023	FY2022
Total cost of revenue	74,114	65,863	62,650
Gross margin	171,008	146,052	135,620
R&D expense	29,510	27,195	24,512
Sales and marketing expense	24,456	22,759	21,825
General and administrative expense	7,609	7,575	5,900
Operating income	109,433	88,523	83,383
Provision for income taxes	19,651	16,950	10,978
Effective tax rate	18.2%	19.0%	13.1%
Net income	88,136	72,361	72,738
Diluted EPS	\$11.80	\$9.68	\$9.65

Revenue grew 16% to \$245.1 billion, driven by growth across all three segments — Azure led Intelligent Cloud, Office 365 Commercial led Productivity and Business Processes, and Gaming (boosted by Activision Blizzard) led More Personal Computing. Operating income rose 24% to \$109.4 billion, and net income grew 22% to \$88.1 billion. Microsoft Cloud revenue (Azure, Office 365 Commercial, LinkedIn commercial, Dynamics 365, and other commercial cloud) reached \$137.4 billion, up from \$111.6 billion in FY2023.

Balance Sheet Highlights (\$ millions)

Metric	June 30, 2024	June 30, 2023
Cash, cash equivalents & short-term investments	75,543	111,262
Total current assets	159,734	184,257
Goodwill	119,220	67,886
Total assets	512,163	411,976
Total current liabilities	125,286	104,149
Total liabilities	243,686	205,753
Total stockholders' equity	268,477	206,223

Total assets grew 24% to \$512.2 billion, driven largely by the Activision Blizzard acquisition (adding ~\$51.0 billion of goodwill and ~\$22.0 billion of intangible assets) and a \$40.0 billion increase in net property and equipment tied to AI/cloud infrastructure investment. Total liabilities rose to \$243.7 billion, and stockholders' equity increased 30% to \$268.5 billion on strong net income.

Cash Flow Highlights (\$ millions)

Metric	FY2024	FY2023	FY2022
Net cash from operations	118,548	87,582	89,035
Net cash used in investing	(96,970)	(22,680)	(30,311)
Net cash used in financing	(37,757)	(43,935)	(58,876)

Metric	FY2024	FY2023	FY2022
Net change in cash	(16,389)	20,773	(293)
Additions to property and equipment	(44,477)	(28,107)	(23,886)
Acquisitions, net of cash acquired	(69,132)	(1,670)	(22,038)
Common stock repurchased (cash flow stmt)	(17,254)	(22,245)	(32,696)
Dividends paid	(21,771)	(19,800)	(18,135)

Operating cash flow grew 35% to \$118.5 billion on higher cash collections from customers. Investing activities used \$97.0 billion, up sharply from \$22.7 billion, reflecting the Activision Blizzard acquisition (\$69.1 billion of net acquisition spend) and a \$16.4 billion increase in capital expenditures for datacenters and AI infrastructure. Financing outflows declined as share repurchases fell to \$17.3 billion, partly offset by higher dividends (\$21.8 billion) and new debt issuance related to the Activision transaction.

Segment Revenue & Operating Income (\$ millions)

Segment	FY2024 Revenue	FY2023 Revenue	FY2024 Op. Income	FY2023 Op. Income
Productivity and Business Processes	77,728	69,274	40,540	34,189
Intelligent Cloud	105,362	87,907	49,584	37,884
More Personal Computing	62,032	54,734	19,309	16,450
Total	245,122	211,915	109,433	88,523

Principal Risk Factors

The following risks are highlighted in Microsoft's market risk disclosures, income tax notes, and contingencies:

- Foreign currency risk — Microsoft's principal currency exposures include the Euro, Japanese yen, British pound, Canadian dollar, and Australian dollar; a hypothetical 10% decrease in FX rates would reduce revenue-related earnings by an estimated \$9.6 billion.
- Interest rate risk — fixed-income portfolio holdings are exposed to rate movements; a hypothetical 100 basis point increase in U.S. Treasury rates would reduce portfolio fair value by an estimated \$1.3 billion.
- Credit and equity market risk — the fixed-income portfolio is exposed to credit spread widening (est. \$318 million fair-value impact from a 100 bps increase), and the equity investment portfolio is exposed to price risk (est. \$1.1 billion earnings impact from a 10% market decline).
- Major tax dispute — the IRS has issued Notices of Proposed Adjustment for tax years 2004–2013 related to intercompany transfer pricing, seeking an additional \$28.9 billion in tax plus penalties and interest; Microsoft disagrees and is contesting the matter, with no resolution expected within 12 months.
- Uncertain tax positions — gross unrecognized tax benefits stood at \$22.8 billion as of June 30, 2024 (up from \$17.1 billion a year earlier), partly reflecting \$3.4 billion related to the Activision Blizzard acquisition.

- Legal and regulatory proceedings — ongoing U.S. cell-phone radiation litigation (inherited via the Nokia Devices and Services acquisition) and an Irish Data Protection Commission inquiry into LinkedIn's targeted-advertising practices under GDPR, which could result in a fine.
- Large future cash commitments — total contractual obligations (debt principal/interest, construction commitments, leases, and purchase commitments) totaled \$360.0 billion as of June 30, 2024, including \$172.7 billion of operating/finance lease obligations (including imputed interest) tied significantly to datacenter capacity.
- Business combination and valuation judgment risk — significant management judgment underlies purchase-price allocation, goodwill impairment testing, and intangible-asset valuation, particularly following the large Activision Blizzard acquisition.
- Related-party consideration — a March 2024 non-exclusive IP licensing agreement with Inflection AI involved a company co-founded by board member Reid Hoffman, who recused himself from board deliberations on the matter.

Growth Drivers

- Azure and cloud consumption growth — Azure and other cloud services revenue grew 30%, driving a 22% increase in server products and cloud services revenue and a 20% increase in the Intelligent Cloud segment overall; Azure Arc customers grew to 36,000, up 90% YoY.
- AI platform monetization — over 60,000 Azure AI customers (up ~60% YoY), 14,000+ paid Microsoft Fabric customers, and rapid adoption of GitHub Copilot (1.8 million paid subscribers, 77,000+ enterprise customers, up 180% YoY) position Microsoft's Copilot stack as a broad-based growth driver across developer tools, data platforms, and knowledge work.
- Microsoft 365 Copilot and productivity suite momentum — Office 365 Commercial revenue grew 16% on 7% seat growth plus higher revenue per user; Microsoft 365 Consumer subscribers grew 10% to 82.5 million; Copilot adoption is described as the fastest-growing new Microsoft 365 suite in company history.
- Gaming expansion via Activision Blizzard — Gaming revenue grew 39%, with Xbox content and services up 50% (44 points of net impact from Activision Blizzard); the combined portfolio now includes 20 franchises with over \$1 billion in lifetime revenue each.
- LinkedIn and Dynamics 365 growth — LinkedIn revenue grew 9% across Talent Solutions, Marketing Solutions, Premium Subscriptions, and Sales Solutions (Premium signups up 51%; LinkedIn surpassed 1 billion members); Dynamics 365 revenue grew 24% across all workloads.
- Continued infrastructure investment — capital expenditures rose to \$44.5 billion (from \$28.1 billion) and \$108.4 billion of finance leases had not yet commenced as of year-end, reflecting aggressive investment in AI training/inference capacity and datacenter capacity across five continents.
- Capital return to shareholders — dividends grew to \$3.00 per share for the year (from \$2.72), and the company maintains an active \$60 billion repurchase authorization, with \$10.3 billion remaining as of June 30, 2024.

Source: Microsoft Corporation Annual Report 2024 (fiscal year ended June 30, 2024), including CEO letter and consolidated financial statements. This summary is for informational purposes only and does not constitute investment advice.